Republic of the Philippines
Bangsamoro Autonomous Region in Muslim Mindanao
BANGSAMORO PARLIAMENT
Bangsamoro Government Center, Cotabato City

THIRD REGULAR SESSION

RESOLUTION NO. 221

RESOLUTION DIRECTING THE MINISTRY OF AGRICULTURE, FISHERIES, AND AGRARIAN REFORM (MAFAR) TO APPRISE THE PARLIAMENT ON THE STATUS OF THE COCONUT INDUSTRY IN THE REGION AND OUR COMPLIANCE WITH THE PROVISIONS OF REPUBLIC ACT (R.A.) NO. 11524, OTHERWISE KNOWN AS THE "COCONUT FARMERS AND INDUSTRY TRUST FUND ACT"

WHEREAS, Section 8, Article IX of the Bangsamoro Organic Law mandates the Bangsamoro Government to "provide, maintain, and ensure the delivery of xxx, livelihood opportunities" to the residents of the Region.

WHEREAS, in 2020, the Ministry of Agriculture, Fisheries, and Agrarian Reform, Ministry of Trade, Investments and Technology (MTIT), and the Philippine Coconut Authority (PCA) converged to boost the coconut industry and signed a Memorandum of Understanding to sustain a partnership. During the said event, the Minister of MAFAR was quoted as saying, "The MAFAR-BARMM is committed to support and facilitate the planting of coconut in the region and island provinces.";

WHEREAS, on February 26, 2021, R.A. No. 11524, otherwise known as the "Coconut Farmers and Industry Trust Fund Act" was signed into law, the declared policy of which is "to consolidate the benefits due to coconut farmers, especially the poor and marginalized, under various statutes and to expedite the delivery thereof to attain increased incomes for coconut farmers, alleviate poverty, and achieve social equality.";

WHEREAS, Section 4 of R.A. No. 11524 empowers the PCA to draw a Coconut Farmers and Industry Development Plan and provide the criteria to identify the target beneficiaries. It also requires the PCA to complete the Coconut Farmers Registry within ninety (90) days from the effectivity of the law;

WHEREAS, Section 4 of R.A. No. 11524 provides that:

*"**Section 4. Preparation of the Coconut Farmers and Industry Development Plan.** - The Coconut Farmers and Industry Development Plan shall be prepared by the Philippine Coconut Authority (PCA) and approved by the President of the Philippines. The utilization of the Trust Fund created under this Act, or any portion thereof, shall be in accordance with the Development Plan. In the performance of its functions, the PCA shall consult coconut farmers and their organizations, industry associations, civil society organizations, academe, government agencies concerned, particularly the Land Bank of the Philippines (LBP), Development Bank of the Philippines (DBP), Cooperative Development Authority (CDA), Department of Science and Technology-Philippine Council for Agriculture, Aquatic and Natural Resources Research and Development (DOST-PCAARRD), Bureau of Micro, Small and Medium Enterprise Development under the Department of Trade and Industry (DTI), Commission on Higher Education (CHED), Technical Education and Skills Development Authority (TESDA), Agricultural Training Institute (ATI), Philippine Center for Post-Harvest Development and Mechanization (PhilMech), Department of Agriculture's High Value Crops Development Program, Department of Agriculture's Bureau of Animal Industry's Philippine Native Animals Development Program, National Dairy Authority (NDA), Department of Public Works and Highways (DPWH) and other stockholders in the coconut industry. The Plan shall set the directions and policies for the development and rehabilitation of the coconut industry within fifty (50) years.*

In the formulation of the Plan, the PCA shall be guided by the following objectives:

(a) Increased productivity and income of coconut farmers;

(b) Poverty alleviation, education, and social equity; and

(c) Rehabilitation and modernization of the coconut industry towards farm productivity.

The Plan shall include a national program for:

(a) Community-based enterprises, including integrated processing of products and downstream products intended to increase incomes of coconut farmers;

(b) Social protection that directly benefit coconut farmers, farm workers, and their families, taking into consideration existing social protection programs of the government;

(c) Coconut farmers organization and development;

(d) Innovative research projects and their practical application on coconut processing, production and distribution towards developing the local coconut industry; and

(e) Integrated processing of coconut and downstream products.

The Plan shall provide the criteria for targeting beneficiaries, the indicators in determining the attainment of the abovementioned objectives, and the mechanisms for monitoring and evaluating the impact of the different components of the program.

The Plan shall provide an indicative funding requirement or allocation for the implementation of any and all of the programs and projects to be funded by the Trust Fund which funding or allocation shall be itemized or broken down on a project-to-project basis: Provided, That,

(i) For projects which are recurring, or to be implemented on a regular basis, the allocation shall indicate the annual amount that may be required to implement said project;

(ii) For projects that are to be implemented or concluded within a period of time, the allocation shall indicate the total amount that may be required for the implementation of the whole project, itemized according to the phases or stage of said project; and

(iii) All projects shall be evaluated on the basis of financial returns and increased farmers income.

Programs relating to planting, replanting, fertilization, research and development, market promotion, and farm-to-market roads in coconut producing provinces, shall also be funded through regular appropriations.

The Plan shall take into account the distribution of the annual allocation from the Trust Fund, as follows:

(a) Development of hybrid coconut seed farms, and nursery for planting and replanting, twenty percent (20%): to be implemented by the PCA fifteen percent (15%) and the Department of Science and Technology-Philippine Council for Agriculture, Aquatic and Natural Resources Research and Development (DOST-PCAARRD) at five percent (5%) for research respectively;

(b) Training of farmers and their families, as listed in the coconut farmers registry, in farm schools, the training shall be on coconut production and processing technologies, value addition of coconut products, diversification and sustainable

farming methods, including organic farming, financial literacy, and farm business schools programs among others through the TESDA and the ATI, eight percent (8%), to be shared equally;

(c) Research, marketing, and promotion, five percent (5%), to be implemented by the Bureau of Micro, Small and Medium Enterprise Development under the DTI;

(d) Crop Insurance, four percent (4%), to be implemented by the Philippine Crop Insurance Corporation (PCIC);

(e) Farm improvements through diversification and/or intercropping with livestock, dairy, poultry, coffee, cacao production, ten percent (10%), to be implemented by the NDA, the Department of Agriculture's High Value Crops Development Program, and the Department of Agriculture's Bureau of Animal Industry, Native Animal Program to be shared equally;

(f) Shared facilities for processing, ten percent (10%), to be implemented by the PhilMech, the beneficiaries of which are coconut farmers cooperatives and LGUs for coconut farmer organizations. LGUs shall create local small farmers councils to provide mechanisms for consultation and participation;

(g) Credit programs through the DBP and LBP, ten percent (10%) to be shared equally;

(h) Infrastructure development, ten percent (10%), to be implemented by the DPWH, in identified coconut producing LGUs. The DPWH shall give priority to the use of coconut coir or coconut bio-engineering solutions in controlling soil erosion and slope stabilization in the construction of roads and in other applicable projects;

(i) Scholarship program for farmers and their families eight percent (8%), to be implemented by the CHED; and

(k) Health and medical program for farmers and their families ten percent (10%) thereby creating a special unit within the agency for the purpose.

Within one hundred twenty (120) days from the effectivity of this Act, the PCA Board shall enter into a memorandum of agreement with the following agencies, as identified in this section: DOST-PCAARRD, TESDA, ATI, NDA, PhilMech, CDA, LBP, DBP, CHED, STI, and DPWH, to ensure a coordinated implementation of the programs under the Development Plan, proper utilization of the allocations provided in this section, and submission of periodic accomplishment report of these implementing agencies to the PCA Board.

To facilitate the implementation of these programs and the identification of beneficiaries, the PCA shall, within ninety (90) days from the effectivity of this Act, complete the Coconut Farmers Registry: Provided, that an annual verification of the registry shall be conducted by the LGUs in coordination with the PCA and the Department of Agriculture (DA) to ensure its veracity.

Within one hundred twenty (120) days from the effectivity of this Act, the Plan shall be submitted by the PCA to the President, for approval.

Before the Plan is finalized and submitted to the President for approval, the Department of Budget and Management (DBM), DOF, DTI, and the National Economic and Development Authority (NEDA) shall provide their advisory opinions on the following matters:

(a) Whether the Plan is supportive and consistent with socio-economic development plans and oriented towards the achievement of explicit objectives and expected results, to ensure that the utilization of Coconut Levy Fund is conducted effectively;

(b) Whether the Plan manages Coconut Levy Assets and Funds judiciously and, in a manner, supportive of development objectives;

(c) Whether the Plan accelerates and sustains economic growth for the coconut industry; and

(d) Whether the Plan is programmed within the context of well-formulated and consistent long, medium and short-term development plans and policies that will promote both the growth of the economy and the equitable distribution of the benefits of said growth to various members of the society.";

WHEREAS, the same law creates the Coconut Farmers and Industry Trust Fund which for a period of five years from its effectivity will have a total funding of 65,000,000,000 pesos;

WHEREAS, Section 5 of the same law creates the PCA Board composed of the Secretaries of Agriculture, Trade and Industry, Finance, Science and Technology, Budget and Management, the Administrator of the PCA and one coconut-farmers representative each from Luzon, Visayas, and Mindanao;

WHEREAS, under Section 11, Article VI of the Bangsamoro Organic Law, the participation of the Bangsamoro in any government project or agency is guaranteed. It reads:

"As far as practicable, the Bangsamoro Government shall be represented in the departments, offices, commissions, agencies and bureaus of the National Government that implement and enforce policies, programs, and projects of the National Government in the Bangsamoro Autonomous Region.";

WHEREAS, unless the Bangsamoro coconut-farmers are registered in the Coconut Farmers' Registry, they will be excluded from the beneficiaries of the Coconut Farmers and Industry Trust Fund and other programs and projects that may be formulated under Republic Act No. 11524:

NOW, THEREFORE, be it

RESOLVED, as it is hereby resolved by the Bangsamoro Transition Authority, To direct the Ministry of Agriculture, Fisheries, and Agrarian Reform to apprise the Parliament on the status of implementation of Republic Act No. 11524 in the Bangsamoro Region, particularly on the inclusion of the Bangsamoro coconut farmers in the Coconut Farmers Registry; and, to seek from the Philippine Coconuts Authority for an extension period for the registration of coconut farmers applicants from the Bangsamoro Region.

RESOLVED, FURTHER, To further direct the MAFAR to provide the Parliament with actual and relevant information relative to the coconut industry in the region, the steps it undertakes to help improve this industry, and all other information that may be necessary for the Parliament to possibly enact a law to further improve the coconut industry in the region.

RESOLVED, FINALLY, That copy of this Resolution be furnished to the Minister of the Ministry of Agriculture, Fisheries, and Agrarian, for information and appropriate consideration.

ADOPTED, Rajab 22, 1443/February 24, 2022.

Certified Correct:

PROF. RABY B. ANGKAL
Secretary-General

Attested:

ATTY. ALI PANGALIAN M. BALINDONG
Speaker

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